VICTORIA LEE

BUSINESS LAW II
(BMGT 381)

11/9/2024

LEARNING ACTIVITY 4: MORTGAGE PROCESS AND THE POTENTIAL RISKS



Executive Summary

- PI has decided to purchase a storage facility for its paint supplies, tools, and equipment.
- PI found a facility for sale near its retail store and agreed with the seller to purchase it for $1,000,000.00.
- The PI owners asked BCA for finance advice on the property via a mortgage loan.
- This summary analysis should explain the mortgage process and its potential risks.
- It will also address PI's concerns about assuming a mortgage for a new storage facility.

Figure 1: This represents PI's purchase of the storage facility.





Figure 2: This represents PI's mortgage concerns

Agenda

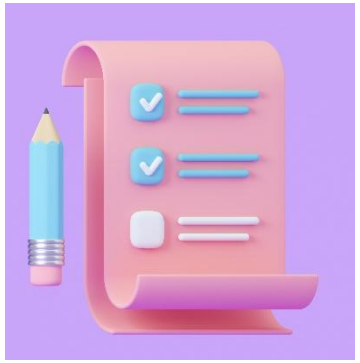


Figure 3: This represents the agenda list.

- Introduction
- Mortgage Process (Initiation; Closing)
- Mortgagor Rights and Responsibilities
- Mortgagee Rights and Responsibilities
- Consequences of Default on the Part of PI
- Remedies Available to First State if PI Defaults on the Mortgage
- Conclusion
- Summary
- References

Introduction

- So far, Painted Images (PI) has expanded its operations by purchasing a $1,000,000 storage facility.
- To finance this purchase, PI will need to secure a mortgage loan. Comprehending the legal steps and complexities of mortgages is crucial, as they present both opportunities and risks.
- This summary will explore the key aspects of the mortgage process, including the rights and responsibilities of both the borrower and lender.
- It will also highlight the potential consequences of default and the remedies available to the lender.
- By understanding these factors, PI can make informed decisions to minimize potential risks.



Figure 4: This represents the introduction of the analysis.

DEFINITION AND MORTGAGE PROCESS STEPS



Figure 5: This represents the mortgage process steps

According to *Advanced Business Law and the Legal Environment* (2014, Chapters 20, 25, and 26), a mortgage is a promise by the debtor (mortgagor) to repay the creditor (mortgagee) for the amount borrowed or credit extended, with real estate put up as security.

If the mortgagor doesn't pay as promised, the mortgagee may repossess the real estate. PI must comprehend this definition as mortgage law is regulated by state and federal statutes.

Under the statute of frauds, the mortgage itself must be evidenced by some writing to be enforceable that the mortgagor will make promises and warranties to the mortgagee and state the amount and terms of the debt and the mortgagor's duties concerning taxes, insurance, and repairs.

In other words, a mortgage is a loan secured by real estate. In this case, PI will use the storage facility as collateral for the loan and as the mortgagor, PI will need to sign a mortgage document to secure the loan for the storage facility.

The important steps in the mortgage process from initiation of the mortgage to closing are as follows on the next slide:

DEFINITION AND MORTGAGE PROCESS STEPS



Figure 5: This represents the mortgage process steps

Step 1: Loan Application:

- PI should evaluate the financial situation to determine mortgage eligibility and apply a loan application for pre-approval from a lender.
- PI must complete this process by providing financial information, financial statements, tax returns, income verification, debts, and credit history.

Step 2: Property Appraisal:

- The lender reviews PI's financial details and verifies credit history, income, and business operations.
- A lender will assess and determine the property's value for the loan amount, including financial status

Step 3: Loan Underwriting:

- The loan terms and conditions, the signature of the mortgage agreement, and financial documents are under review.
- This includes a Risk assessment to make sure that the writing of a secure agreement was made.

Step 4: Loan Approval or Denial

- PI will submit a formal loan application, including supporting documentation like tax returns and bank statements.

Step 5: Loan Closing:

- Once approved, the loan is finalized. This involves signing legal documents, including the mortgage, promissory note, and closing disclosure.
- Then the transfer of ownership is settled including the disbursement of loan funds.
- In other words, Finalize the loan terms and conditions, sign the mortgage agreement, and disburse funds to the seller.

MORTGAGOR'S RIGHTS AND RESPONSIBILITIES

According to *Advanced Business Law and the Legal Environment* (2014, Chapters 20, 25, and 26), the person giving the mortgage is the mortgagor or borrower to finance the purchase. In this scenario, PI is the mortgagor with certain rights and responsibilities.

Morgagor's Rights:

- PI has the right to occupy, use, and sell the property under certain mortgage terms
- PI has the right to receive clear loan disclosure statements.
- PI has the right to dispute errors in loan servicing.
- PI has the right to prepay the mortgage without penalty (if applicable).

Morgagor's Responsibilities:

- PI is responsible for making timely mortgage payments, including principal and interest.
- PI is responsible for paying property taxes to avoid foreclosure.
- Pi is responsible for maintaining property insurance to protect the lender's interest.
- PI is responsible for maintaining the property to ensure its value is as promised
- PI is responsible for adhering to loan covenants



Figure 6: This represents the list of laws relating to the rights and responsibilities of a mortgagor.

MORTGAGEE'S RIGHTS AND RESPONSIBILITIES

According to *Advanced Business Law and the Legal Environment* (2014, Chapters 20, 25, and 26), the lender is the mortgagee, a person or institution holding the mortgage, with the right to foreclose on the property if the debt is not timely paid. In this scenario, the mortgagee is the lender with certain rights and responsibilities.



Figure 7: This represents the list of laws relating to risks and liabilities.

Mortgagee's Rights:

- The lender has the right to receive mortgage payments
- The lender has the right to receive timely mortgage payments.
- The lender has the right to foreclose on the property if PI defaults because the lender has a security interest in the property.
- The lender has the right to enforce the terms and conditions of the mortgage agreement.

Mortgagee's Responsibilities:

- The lender is responsible for collecting payments and managing the loan account.
- The lender is responsible for the disbursement of loan funds.
- The lender is responsible for complying with lending regulations.
- The lender is responsible for providing clear and timely loan statements and disclosures.
- The lender is responsible for properly managing payments and escrow accounts.
- The lender is responsible for addressing borrower disputes fairly and promptly.

PI'S DEFAULT CONSEQUENCES



Figure 8: This represents the list of laws relating to risks and liabilities.

According to *Advanced Business Law and the Legal Environment* (2014, Chapters 20, 25, and 26 and Legal Information Institute (n.d.), if PI defaults on the mortgage, the lender may consider some actions like acceleration, foreclosure, or legal actions that may impact PI negatively. If the lender chooses to accelerate, the lender can demand immediate repayment of the entire loan balance. If it was a foreclosure, the lender can initiate foreclosure proceedings to sell the property to recover the outstanding debt. This would lead to the loss of the storage facility. To avoid foreclosure, PI must make timely mortgage payments and maintain the property. If it was another legal action, the lender could sue PI for breach of contract and seek a judgment that would pose a financial burden for PI. Other negative effects that could hurt PI if PI decides to default would be damaging PI's credit score and accumulation of late fees and penalties. (*Advanced Business Law and the Legal Environment,* 2014, Chapters 20, 25, and 26; Legal Information Institute, n.d.)

REMEDIES TO FIRST STATE



Figure 9: This represents the remedies of the law

According to *Advanced Business Law and the Legal Environment* (2014, Chapters 20, 25, and 26) and Legal Information Institute (n.d.), after the agreement is made and the title shifts to the buyer at the end of the term of payments, the mortgage will terminate by payment, assumption by a new buyer (with a novation releasing the old buyer), and foreclosure. In a judicial-sale foreclosure, a court authorizes the property's sale; in a power-of-sale foreclosure, no court approval is required. Most states allow the mortgagor a period—six months to a year—to redeem the property after foreclosure. The deeds of trust avoid judicial involvement by having the borrower convey the land to a disinterested trustee for the benefit of the lender; the trustee sells it upon default, with proceeds going to the lender.

Some of the remedies available to First State if PI defaults on the mortgage include deficiency judgment, loan modification, repayment plan, and foreclosure. For the deficiency judgment, a legal claim against PI for the remaining balance if the property sale does not cover the loan. For loan modification, PI can have a remedy to make payments more manageable after renegotiation. And for repayment plans, PI can agree on a schedule to pay back missed payments over time which would be a good remedy if PI wants repayment.

As for foreclosures, it would include the process of repossessing the property and the sale of the property to recover the loan amount. These types of foreclosure include Judicial Foreclosure, Non-Judicial Foreclosure, or Deed in Lieu of Foreclosure.

If PI receives a court-supervised process that involves a public auction of the property it would be a judicial foreclosure remedy. If PI receives a quicker process that allows the lender to sell the property without court intervention it would be a non-judicial foreclosure remedy. If PI voluntarily transfers the property to the lender to avoid foreclosure it would be a deed in lieu of foreclosure remedy

(*Advanced Business Law and the Legal Environment,* 2014, Chapters 20, 25, and 26; Legal Information Institute, n.d.)

OTHER CONSIDERATIONS



Figure 9: This represents the remedies of the law

According to *Advanced Business Law and the Legal Environment* (2014, Chapters 20, 25, and 26) and Legal Information Institute (n.d.), PI should consider different interest rates and loan terms to minimize costs. If PI decides to do closing costs, PI will be responsible for various closing costs, including appraisal fees, title insurance, and attorney fees. Another consideration that PI can evaluate is the Private Mortgage Insurance (PMI). If PI makes a down payment of less than 20%, they may be required to pay PMI, which is an additional monthly cost. By understanding the mortgage process, their rights and responsibilities, and the potential risks, PI can make informed decisions about financing their new storage facility (*Advanced Business Law and the Legal Environment,* 2014, Chapters 20, 25, and 26; Legal Information Institute, n.d.).

Main Points so far:

- Mortgage process steps
  - Pre-approval, property appraisal, loan application, and approval, mortgage closing
- Rights and responsibilities of both parties
  - Mortgagor: PI responsible for payments, property maintenance, insurance, property taxes
  - Mortgagee: holds security interest, acceleration foreclose, legal action in case of default
- Consequences of default
  - lender takes actions: accelerating loans, foreclosing property, legal proceedings
- Remedies available to the lender
  - protects security interests, judicial/non-judicial foreclosure, legal proceedings

Advice to PI:

- Work with a mortgage lender
- Understand mortgaging and the steps
- Maintain timely payments
- Keep the property well-maintained

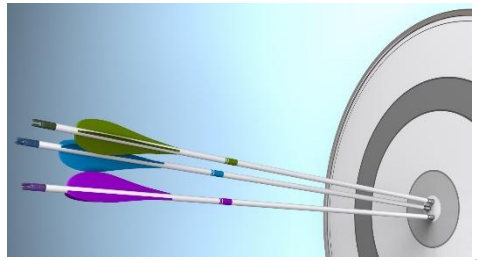


Figure 10: This represents the summary points so far

Conclusion

- PI must comprehend the terms of the mortgage process such as Interest rate, loan term, payment schedule, and any additional fees or charges.
- This would allow PI to successfully finance its new storage facility.
- Based on the analysis, it is recommended that PI continues to maintain timely payments such as Prioritizing mortgage payments to avoid late fees and potential default.
- And PI should keep the property well-maintained.
- Implementing regular maintenance can help preserve the property's value and avoid potential foreclosure.
- PI should also consider a fixed-rate mortgage which protects against interest rate fluctuations.
- If PI also works with a mortgage lender it could also help with other options to find the best mortgage solution.
- In conclusion, by understanding the mortgage process, their rights and responsibilities, and the potential consequences of default, PI can make informed decisions and mitigate risks associated with financing the storage facility.



Figure 11: This represents the conclusion

References & Resources

Advanced Business Law and the Legal Environment: Chapter 20. (2014). Washington, D.C.: The Saylor Foundation. https://leocontent.umgc.edu/content/dam/equella-content/lgst340/Chapter%2020%20-%20Mortgages%20and%20nonconsensual%20Liens%20%282%29.pdf?ou=1254835

Advanced Business Law and the Legal Environment: Chapter 25. (2014). Washington, D.C.: The Saylor Foundation. https://leocontent.umgc.edu/content/dam/equella-content/lgst340/Chapter%2025%20-%20The%20Transfer%20of%20Real%20Estate%20by%20Sale.pdf?ou=1254835

Advanced Business Law and the Legal Environment: Chapter 26. (2014). Washington, D.C.: The Saylor Foundation. https://leocontent.umgc.edu/content/dam/equella-content/lgst340/Chapter%2019%20-%20Secured%20Transactions%20and%20Suretyship.pdf?ou=1254835

Legal Information Institute. (n.d.). *Mortgage law: An overview*. Cornell Law. https://www.law.cornell.edu/wex/mortgage

Microsoft. (n.d.). Microsoft PPT Stock Images[Stock image]. Microsoft Windows.